



6 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were consistently bid overnight, although concerns around Europe's political and fiscal outlook remained in focus following last week's widening in euro area sovereign bond spreads.

Global equities advanced, aided by the technology sector and Friday's softer US labour market report.

Growth in US Treasury yields remained constrained by Friday's softer labour market report, while the recent widening in the France-Germany bond spread showed tentative signs of stabilising.

The US dollar strengthened modestly, although the AUD bucked the broader trend and gained against the greenback, while the euro fell to its lowest level since May 2025.

Oil prices eased as Saudi export flows continued to recover, while softer market expectations for Fed tightening supported gains across base metals.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	64.4	-0.3%	30 day BBSY	4.60	0.00
AUD/USD	0.6971	0.2%	90 day BBSY	4.81	-0.01
AUD/JPY	110.12	0.3%	180 day BBSY	5.19	0.01
AUD/GBP	0.5272	0.4%	1 year swap	4.92	0.00
AUD/NZD	1.2452	0.5%	2 year swap	4.96	0.02
AUD/EUR	0.6213	0.5%	3 year swap	4.99	0.04
AUD/CNH	4.6728	0.2%	4 year swap	5.01	0.04
AUD/SGD	0.8918	0.2%	5 year swap	5.05	0.05
AUD/HKD	5.4698	0.2%	6 year swap	5.10	0.05
AUD/CAD	0.9940	0.1%	7 year swap	5.16	0.05
EUR/USD	1.1220	-0.3%	8 year swap	5.21	0.05
USD/JPY	157.97	0.1%	9 year swap	5.26	0.05
USD Index	102.15	0.2%	10 year swap	5.30	0.06

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,686	0.0%	Australia		
S&P 500	7,782	0.8%	3 year bond	4.90	0.00
Japan Nikkei	69,947	2.4%	10 year bond	5.34	0.00
Hang Seng	24,040	0.3%	United States		
Euro Stoxx 50	6,242	0.1%	3-month T Bill	4.02	0.01
UK FTSE100	10,498	0.3%	2 year bond	4.82	0.00
VIX Index	15.54	1.5%	10 year bond	5.31	0.04

Commodities	Current	Change	Other (10 year yields)		
CRB Index	410.94	0.2%	Germany	3.49	0.03
Gold	4140.45	0.0%	Japan	3.10	0.01
Copper	14420	1.1%	UK	5.42	0.05

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	89.13	-2.2%	10 yr bond	5.42	0.05
Coal (coking)	263.00	0.2%	3 yr bond	4.96	0.05
Coal (thermal)	151.05	1.0%	3 mth bill rate	4.63	0.00
Iron Ore	91.75	0.5%	SPI 200	8,757	0.4%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were consistently bid overnight, with strength in the technology sector outweighing concerns around still-elevated oil prices and bond yields. The key theme across markets remains concerns around the European political and fiscal outlook. Last week's sell-off in European bond markets and widening divergence across euro area sovereign yields revived memories of the region's debt crisis, with France the clear underperformer.

- US equities extended their gains this week, supported by buyout announcements and continued strength in the technology sector. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.1%, and the Dow Jones added 0.2%. European equities also advanced despite ongoing regional concerns, with the Euro Stoxx 50 up 0.1% and the FTSE 100 gaining 0.3%.
- Asian equities were supported by Friday's softer US payrolls report, which prompted markets to pare expectations for further Fed tightening. The Nikkei 225 led gains, rising 2.4%, while the KOSPI gained 0.5% and the Hang Seng rose 0.3%. Despite public holidays across much of Australia, local markets remained open, with the ASX 200 broadly unchanged.
- Growth in US Treasury yields remained constrained by Friday's softer labour market data. The 2-year Treasury yield was unchanged, while the 10-year yield rose 4bps. Futures markets assign just under a 24% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. In Europe, the 10-year Bund yield rose 3bps while the French 10-year government bond yield fell 1bp, resulting in a modest narrowing of the France-Germany spread following last week's widening.
- Australian government bond yields were subdued on Monday, with both the 3-year and 10-year yields unchanged. Swap markets remain cautious about pricing further tightening in 2026, with the probability of a November hike sitting just above 25%, taking the implied year-end cash rate to 4.67%.
- The US dollar strengthened, with the DXY rising 0.2%. The AUD bucked the broader trend, gaining 0.2% against the greenback to 0.6971. The yen weakened 0.1% against the USD, while sterling fell 0.2% and the euro declined 0.3%, leaving the latter at 1.1220, its lowest level since May 2025.
- Oil prices eased after Saudi Arabia lowered prices for its benchmark crude grade into Asia as export flows continued to recover, offsetting concerns around renewed tensions in Yemen. Brent fell 2.1% to US\$100/bbl, while WTI declined 2.2% to US\$89.1/bbl. Dated Brent continued to trade at a sizeable premium at US\$128/bbl. Gold was unchanged, while softer Fed tightening expectations supported gains

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Consumer Sentiment Oct-		84.4pts
11:30	AU ANZ Job Ads Sep	-	2.5%
20:00	EZ Retail Sales Aug	0.2%	-0.6%
23:30	US Trade Balance Aug	-US\$102b	-US\$88.6b

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

in base metals, with copper up 1.1% and aluminium rising 0.8%. Iron ore gained 0.5%.

International Data

US: The **ISM services** index fell from 55.4 to 54.9, with mixed details (new orders lower but employment and prices paid higher).

Eurozone: **PPI** in August rose 1.9%*m/m* and 8.2%*y/y* (prior 5.8%*y/y*), driven by energy inputs. **Sentix investor confidence** fell from 5.1 to 2.7. **ECB** Chief Economist **Lane** said a measured response to inflation is appropriate as they assess the effects of a second wave of the energy shock on the economy.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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